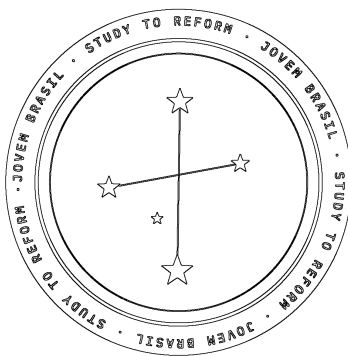


Brazil's High Interest Rate: Fighting Inflation, or Paying the Wealthy to Lend?

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Introduction

On June 17th, 2026, the central bank of Brazil, Banco Central do Brasil (BCB), opted for its third consecutive cut of the country's benchmark rate, known as the Selic. By reducing the rate by another 25 basis points, it now sits at 14.25%¹, a figure that is significantly higher than the rates seen across most developed and even other emerging economies today². This is especially notable given that the Brazilian government has managed to consistently control inflation over the past few years, with inflation currently sitting at only 4.46%, just slightly above its target of 3%³. As we can see, this leaves a gap of almost 10 percentage points between the policy rate and inflation, a spread that is unusually wide by international standards and that offers domestic lenders a notably high rate of return relative to the modest, well-controlled inflation they are being compensated against.

The BCB says this rate is necessary to keep inflation under control, while critics counter that it is turning government debt into one of the most profitable, risk-free investments available, while making borrowing too expensive for ordinary people and businesses to actually grow. This paper sets out to examine both sides of this debate, first considering whether the high benchmark rate is itself justified, before turning to what I will argue is the more significant issue: the structure of Brazil's government debt, and how closely it is tied to the Selic itself. My position throughout this paper is that the benchmark rate, while historically defensible, has become secondary to a more damaging problem, as nearly half of Brazil's public debt is now indexed directly to that same rate, meaning the tool used to fight inflation simultaneously functions as a guaranteed transfer of wealth to the banks, funds and wealthy investors who hold this debt, and that this cost is large enough to outweigh the rate's stabilising benefits.

Why the High Rate Might Be Justified

So why actually is the Brazilian benchmark rate so high in the first place? The most immediate explanation lies in Brazil's own history, as during the late 1980s and early 1990s, Brazil went through a period of hyperinflation, where money rapidly lost its value as prices spiralled upward. This crisis was only brought under control in 1994, through a major currency and economic reform known as the Plano Real, where a successful set of economic measures were introduced. Nevertheless, this period has marked Brazilian institutions until today, causing them to accept high interest rates, and the costs that come with them elsewhere in the economy, in order to avoid repeating the occurrence.

Beyond this historical reasoning, there is also a more technical justification for keeping rates elevated, known as fiscal dominance. The concept here is that, when a government already holds a large amount of debt, cutting interest rates to secure cheaper credit can instead repel investors, who read the move as evidence of underlying fiscal instability rather than of stability, and who then demand a higher return to keep lending. As found within an IMF working paper analysing Brazil⁴, the country's fiscal policy has tended to behave in a fairly “passive” manner. This means that government spending has generally not adjusted downward to offset the country's rising interest costs, leaving debt sustainability to depend heavily on the direction of monetary policy itself, which is exactly the type of situation where cutting rates too soon could spook investors rather than reassure them.

Furthermore, the BCB only became formally independent from the Brazilian government in 2021⁵, meaning that this consistency in keeping rates high, even under political pressure, can be seen as an attempt to prove

that the bank will not bend to the will of politicians. This has been made especially clear through the repeated clashes between President Lula and the BCB, as Lula has publicly and repeatedly criticised the bank's leadership, arguing that these high rates are hurting growth and unemployment while limiting the government's ability to fund its own anti-poverty and public investment programs⁶. However, despite Lula appointing the majority of the current Copom committee, including current governor Gabriel Galipolo, the BCB has continued to raise or maintain a high benchmark rate throughout 2025⁷, showing that its independence has, so far, held up under pressure.

However, it is worth testing how solid this historical justification actually is against the evidence, rather than simply accepting it at face value. A comparative study from the Institute for International Political Economy Berlin, an academic research institute based at the Berlin School of Economics and Law, used panel data covering eleven other developing countries between 1996 and 2015 to test the four most common mainstream explanations for Brazil's high real rate, namely low domestic savings, a history of sovereign default, capital controls, and weak institutions, and found that these explanations did not hold up once Brazil was actually benchmarked against similarly-situated economies⁸. In other words, other countries with comparable histories of instability have not needed real rates anywhere near this high, which suggests the justification may have less to do with Brazil's circumstances being uniquely severe, and more to do with the specific choices made by Brazilian institutions themselves. Longer-run studies covering the 1980–2009 period⁹, along with IMF research tracking Brazil's “neutral” real rate over the past two decades¹⁰, similarly describe the high rate as a persistent structural puzzle rather than something that can be fully explained by any single, short-term factor, something which can easily be overlooked by only looking at annual snapshots.

Therefore, while the case for a high benchmark rate is not simply arbitrary, given that it clearly comes from real historical and structural pressures, it is also not as watertight as it may first appear once placed alongside other countries that faced similar pasts. That said, being justified does not necessarily mean the rate comes free of downsides, or that those downsides are outweighed by the benefits, which is what I will explore next.

The Downsides of a High Benchmark Rate

The most obvious cost that comes from keeping such a high benchmark rate is that borrowing becomes considerably more expensive for the ordinary population and small businesses, with mortgages, car loans and any form of business credit all becoming pricier as a result. However, there are a few other effects worth pointing out separately, rather than lumping them all under the general idea that loans simply become expensive.

Firstly, banks tend to prefer lending to the government over lending to private businesses, because such a high return on such a safe investment product leaves far less incentive to take on the added risk of lending to a business that might offer a similar return but carries a genuine chance of default. Economists refer to this effect as ‘crowding out,’ where safe government debt effectively crowds out riskier, yet more economically productive, private lending, slowing down exactly the type of investment that would otherwise create jobs and encourage long-term growth. However, this idea isn't entirely clean cut, as an IMF analysis found that despite the Selic sitting at 15% throughout 2024, bank credit still grew by 11.5% that year, alongside a 30% rise in corporate bond issuance¹¹. Although, this doesn't necessarily disprove the

theory completely, as crowding out can still be at work even where lending is growing, if that growth is simply catching up after a long period skewed toward government debt. As we can see, the effect is more significant in specific lending categories than across lending in general, with roughly 80% of surveyed industrial firms in Brazil citing interest rates as their main obstacle to receiving short-term credit, and with construction and small businesses hit hardest of all¹².

Secondly, the government's own debt becomes considerably more expensive to manage as well. As of 2026, Brazil's public debt stock stands at approximately 80% of the country's total GDP, while interest payments on that debt are estimated to consume around 30% of the government's total revenue each year¹³. This means that, as the Selic remains high, the interest owed on the government's existing debt continues to grow alongside it, meaning a larger share of the annual national budget goes directly towards paying off interest, rather than being spent on essential public services such as healthcare or education.

It is also worth considering a chicken-and-egg problem hidden within this debate. Brazil's inflation is currently low, and the labour market has stayed comparatively stable throughout this tightening cycle, which on the surface looks like exactly the kind of good news that would justify cutting rates further. However, it is equally possible that it is the sustained high rate itself that has kept inflation this low and prevented the economy from overheating in the first place, meaning a rate cut could end up undoing the very stability being used to justify it. This makes it difficult to cleanly separate the downsides of the rate from its benefits, since the two may be more causally tangled than they first appear, and it turns the question from simply asking whether this rate has costs, into asking whether those costs are actually outweighed by benefits that might disappear the moment the rate comes down.

Learning from Other Countries

Brazil is not the only country to face this tension between growth and monetary credibility. Turkey offers a useful, if extreme, counterexample, as rather than following the orthodox approach of raising rates to fight inflation, the Turkish government pursued the opposite strategy between 2021 and 2023, cutting rates despite rising prices, in an attempt to stimulate growth. The result was inflation spiralling to a decades-long high of over 85% by late 2022, forcing Turkey's central bank into an even sharper reversal, hiking its policy rate from a low of 8.5% up to 50% between May 2023 and March 2024, just to regain control¹⁴. South Africa, by contrast, has followed a path closer to Brazil's, maintaining a persistently high real rate over a long period, and a comparative debt-sustainability study names Brazil, South Africa and Turkey together as the three major emerging economies most exposed to further deterioration should real rates rise further into the future¹⁵. Comparing these cases suggests that abandoning a high-rate strategy prematurely carries real risk, though it does not necessarily prove that Brazil's specific rate level, or its specific debt structure, is the only stable option available to it.

Why Bonds Are Actually the Core Issue

I now turn to what I believe is the true argument of this paper, as it is here that everything mentioned previously connects into one clear mechanism.

While some Brazilian government bonds are issued at a fixed rate, locked in at the point of issue, a significant portion of the country's debt is instead issued through floating-rate bonds, known as LFTs, or

Letras Financeiras do Tesouro, where the interest paid moves up and down automatically in line with the Selic. As of early 2026, these Selic-linked bonds made up close to 48% of Brazil's entire public debt, a share the National Treasury has actually been increasing further this year, mainly because investors continue to demand the added security that comes with a return that rises whenever the benchmark rate does¹⁶.

This detail is what makes the entire issue far more significant than it may initially seem, as it means the Selic rate isn't simply a policy tool that indirectly affects the economy through the cost of loans, but for a large portion of Brazil's total debt, it directly and immediately determines the return being paid out to investors. Therefore, whenever the BCB raises the Selic in an attempt to control inflation, it is, at the very same time, directly increasing the income of everyone who already holds these bonds.

It is also worth breaking down exactly who holds this debt, as according to a Financial Stability Board review, the majority is held by banks, pension funds and other large investment funds, alongside a growing number of wealthier individual investors who purchase government bonds through investment products commonly referred to as 'renda fixa,' or fixed income¹⁷. These are generally not lower income Brazilians, but rather individuals and institutions that already hold enough capital to invest in the first place. Consequently, if the flow of this money is followed, it becomes clear that the government, funded through taxes paid by the entire population, ends up paying interest that increasingly flows towards those who already had capital available to lend. In this sense, the benchmark rate is not only being used to control inflation, but is also acting as a mechanism that transfers wealth from the broader economy towards those already in a position to hold financial assets. This also helps explain why both foreign and domestic investors are drawn towards what is commonly known as a 'carry trade,' where money is borrowed or held within a lower interest currency, before being moved into Brazilian assets purely to capture the high, and largely guaranteed, return on offer. However, this is not a costless arbitrage available to any investor worldwide, as a foreign lender's return, once converted back into their own currency, is exposed to the risk that the real depreciates, alongside taxes on foreign portfolio flows and a political risk premium, all of which erode the apparent excess return and help explain why capital has not flooded in to compete this yield away entirely. As further evidence of this, Brazil's 10-year government bond currently yields close to 14.8%, nearly identical to the Selic itself, which suggests markets expect this elevated rate environment to persist for years rather than reverse quickly¹⁸.

It is also worth acknowledging that policymakers are fully aware of this dynamic, and that floating-rate debt is not simply an oversight on Brazil's part. Fixed-rate bonds typically carry a higher rate than the Selic itself, since investors demand compensation for locking in a return over a period during which inflation or the policy rate could rise unexpectedly, meaning floating-rate debt allows the government to avoid paying this extra premium. It also works as a genuine two-way hedge for the government rather than only a cost, as if the Selic falls, as it has done through 2026, the interest owed on this same debt falls with it, automatically. During periods when investors are nervous about a country's fiscal position, floating-rate debt can also be easier for the Treasury to sell than long-dated fixed bonds, since it does not ask investors to take on interest-rate risk over many years at once.

This raises the practical question of whether Brazil could realistically reduce its reliance on this instrument without abandoning the high rate that its own justifications, discussed earlier, still call for. The Treasury has, in fact, set an explicit long-term target of cutting the Selic-linked share of debt to 23% by 2035, roughly

half its current level¹⁹, and Brazil has done something similar before, as between 2000 and 2001, a National Treasury programme extended the average maturity of the country's fixed-income debt from 8.5 months to 26 months, and increased the fixed-rate share of debt, as inflation targeting first began to establish credibility²⁰. This suggests the two goals are not entirely incompatible, but the earlier episode also shows that this kind of shift only becomes possible once investors trust that inflation, and by extension the rate itself, will stay under control for long enough to make a fixed return worth accepting. In other words, reducing Brazil's exposure to this transfer mechanism is not something the Treasury can simply choose to do on its own terms, as it is instead a gradual outcome of the same credibility that would also, eventually, let the rate itself come down.

Conclusion

Brazil's high benchmark rate is not purely irrational or driven by political motives, as there are clear, historically grounded reasons behind the BCB's cautious approach, even if that reasoning holds up less cleanly once compared against other countries with similar pasts. However, justifying the rate on these terms is not the same as justifying the wider system that has been built around it. Given that such a large proportion of Brazil's public debt is directly linked to the Selic through these floating-rate bonds, the very same tool being used to fight inflation is simultaneously functioning as a guaranteed source of income for the banks, funds and wealthier investors that hold this debt.

Weighed against each other, I would argue that these costs outweigh the benefits of the current debt structure specifically, even where the rate level itself remains defensible. The historical and fiscal arguments discussed above justify a high Selic, however they do not, on their own, justify concentrating half of the government's debt in instruments that pay that same rate out directly and automatically. The 30% of government revenue currently spent on interest, and the wealth transfer this creates towards Brazil's wealthiest lenders, are costs large enough to demand a deliberate reduction in the country's reliance on Selic-linked debt, even if that reduction can only happen gradually and alongside continued fiscal credibility, as argued above.

Therefore, the real question worth asking isn't simply whether the rate should be lower, but rather whether Brazil is moving with enough urgency to bring down its reliance on floating-rate debt specifically, given that the Treasury's own target of a 23% LFT share by 2035 is still nearly a decade away. The rate itself may be defensible under current conditions, but a decade is a long time to keep transferring 30% of government revenue towards its wealthiest lenders, and it is this paper's position that Brazil should treat shortening that timeline, through continued fiscal consolidation and a demonstrated commitment to low inflation, as a policy priority in its own right.

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